

Let's Talk Finance 2

Teachers'
Answer Book

This resource has been written to provide support for the 20 ***Let's Talk Finance 2*** topics, written for a teacher with no prior finance background: Every Reading answer is verified against the current article text and question wording. Every Discussion answer explains what a strong response covers, why, and — where the question is genuinely open — the main alternative view(s) a learner might reasonably take instead.

These are suggested directions, not single correct responses; the teacher's role is to guide reasoning, not to mark against one fixed answer.

Created: 2026-09-11

Contents

1.1. The Cost of Living and Inflation	1
1.2. Debt: Credit Cards, Mortgages and Loans	3
1.3. Saving and Investing for the Long Term	5
1.4. Housing Markets and Affordability.....	7
1.5. Scams, Fraud and Financial Self-Defence	9
2.1. How Companies Raise Money	11
2.2. Startups, Venture Capital and Failure	13
2.3. The Gig Economy and Income Security	15
2.4. Executive Pay and Inequality Inside Firms	17
2.5. Banks: What They Do and How They Fail.....	19
3.1. What Moves Stock Markets.....	21
3.2. Bubbles, Crashes and Manias.....	23
3.3. Commodities: Oil, Metals and Food.....	25
3.4. Currencies and Exchange Rates	27
3.5. Emerging Markets and Development Finance.....	29
4.1. Tax: How Governments Raise Money	31
4.2. Government Debt and Deficits	33
4.3. The Business of Sport, Art and Culture	35
4.4. Philanthropy, Foundations and Impact	37
4.5. The Future of Money	39

1.1. The Cost of Living and Inflation

Aim: Explain what inflation is, why it rose around the world after 2021, and why central banks aim for a small positive rate rather than zero.

Target vocabulary: inflation, deflation, central bank, inflation target, interest rate, purchasing power.

Reading answers:

1. Inflation is the rate at which prices rise over time; deflation is the opposite — prices falling over time.
2. Supply chains still recovering from the pandemic, and energy and food prices rising sharply after Russia's invasion of Ukraine.
3. Japan had lived with near-zero or falling prices for about 25 years, so inflation above 2% was itself news; Argentina had annual inflation of 211% after years of economic crisis and a falling currency.
4. A weaker yen made imported food and fuel more expensive, and a poor rice harvest pushed the price of rice sharply higher.
5. A small positive rate gives a safety margin against deflation, which is dangerous because people delay spending when they expect prices to fall, and there is a limit to how far interest rates can be cut to fix it.

Discussion answers:

1. **Which is worse for ordinary people: prices rising quickly, or prices slowly falling? Explain, using an example.** Both are genuinely defensible positions. Rapid inflation (as in the reading's Argentina case, 211% in a year) erodes savings and wages fast, and can force people into daily anxiety about basic costs. Deflation is more insidious: the reading explains that people delay spending expecting further falls, which can shrink the whole economy and cost jobs — Japan's decades-long struggle is the reading's own example. A strong answer should use one of these two cases specifically, not just assert a preference.
2. **Inflation affects savers, borrowers, workers and pensioners differently. Rank these four groups from most harmed to least harmed by a sudden rise in inflation, and explain your order.** There is no single correct order, but a defensible one: savers are hit hardest, since cash loses purchasing power directly and immediately; pensioners often next, if their pension is not adjusted for inflation; workers are partly protected if wages eventually rise to catch up, though the reading notes "wages... usually do not keep up," so the timing gap still hurts; borrowers with fixed-rate debt can actually benefit, since they repay a fixed sum with money that is worth less over time. A strong answer should explain the mechanism behind each ranking, not just list the order.
3. **Should a central bank raise interest rates quickly to stop inflation, even if it causes job losses, or move slowly? Give your view.** In favour of acting quickly: the

reading shows real-world central banks (US, euro area, UK) did raise rates quickly in 2022–23 precisely because delay lets inflation expectations become embedded, making the eventual fix harder. In favour of moving slowly: raising rates “slows the economy” as the reading notes, and doing so too fast risks unnecessary job losses and business failures for a problem that might partly resolve on its own (as supply chains recovered). A strong answer should note this is the real trade-off central banks actually face, not a question with one obviously right answer.

4. **A government wants to help with the cost of living by sending money to households. How might this help, and how might it make inflation worse?** It helps by directly cushioning households against price rises they cannot otherwise avoid, especially for necessities like food and fuel. It could worsen inflation because putting more money into people’s hands while supply remains constrained can push demand up further, adding to the very price pressure the payment is meant to offset — an example of the “demand rising faster than supply” mechanic that appears elsewhere in this book (Topic 1.4, housing). A strong answer should note the payment’s design matters: targeted, temporary support has a different effect than broad, repeated payments.
5. **Advise someone on how to protect the value of their savings during a period of high inflation. What are their options, and what is the drawback of each?** Options and drawbacks drawn from the reading and its own emphasis: keep cash in a bank deposit (safe and available, but the reading is explicit that “wages and savings usually do not keep up” with inflation, so cash loses real value); invest in shares or other assets that may outpace inflation over time (the companion Topic 1.3 discusses this trade-off — better long-run returns, but real short-term risk of loss); or seek out inflation-linked instruments where available (protects purchasing power directly, but may pay a lower return than other assets in calmer times). A strong answer should note no option is risk-free.

Confidentiality note: Discuss public economic data only; do not ask learners to discuss their own household budgets or savings in detail.

1.2. Debt: Credit Cards, Mortgages and Loans

Aim: Explain how consumer credit works, why the interest rate varies so much between loan types, and what over-indebtedness looks like.

Target vocabulary: consumer credit, compounding, secured loan, unsecured loan, over-indebtedness, buy-now-pay-later.

Reading answers:

1. Because a mortgage is backed by (secured against) the house, which the lender can take and sell if payments stop, so the lender's risk is lower; a credit card is backed by nothing.
2. Any unpaid interest is added to the balance and then charged interest itself the next month, so a balance never fully cleared can grow quickly even without new spending.
3. Household debt levels vary a lot between countries; South Korea, for example, has one of the highest household-debt burdens in the world, much of it in home loans.
4. "Buy now, pay later" splits a purchase into interest-free instalments rather than charging ongoing interest like a credit card; regulators in the UK moved to regulate these firms from July 2026, requiring affordability checks.
5. It cut the maximum interest rate on unsecured consumer loans to 20% and capped total non-bank borrowing at one-third of a person's annual income.

Discussion answers:

1. **People sometimes describe a mortgage or a student loan as "good debt" and credit-card debt as "bad debt". Is that a useful distinction? Explain.** A strong answer should use the reading's own logic on secured versus unsecured borrowing: a mortgage is typically lower-cost, backed by an appreciating or useful asset (the house), and repaid over a long, planned period — features that support the "good debt" label. Credit-card debt, unsecured and carrying compounding interest at a much higher rate (about 21% in the reading), can grow quickly if not cleared, supporting the "bad debt" label. A learner could push back that the distinction is oversimplified — any debt used responsibly and within one's means can be "good," and even a mortgage becomes "bad debt" if someone borrows more than they can actually repay.
2. **"Buy now, pay later" is interest-free if you pay on time. Does that make it safe? Give your reasons.** The reading's own evidence supports caution: the market grew "with little regulation" from under £0.1 billion to more than £13 billion before regulators stepped in, and about one in five UK adults had used it — suggesting rapid, under-supervised growth is itself a risk signal. A learner arguing it is relatively safe when used carefully could note that the interest-free structure genuinely differs from compounding credit-card debt. A learner arguing it is not fully safe could note that splitting purchases into several small "free" instalments across multiple providers can make total spending harder to track, contributing to over-indebtedness even without

interest charges — which is likely why regulators judged affordability checks were needed.

3. **Japan capped consumer loan interest at 20% and limited total borrowing to one-third of income. What are the benefits and the drawbacks of rules like these?**

Benefit, directly stated in the reading: the number of people servicing loans from several lenders at once “fell sharply” after the reform, meaning the rule reduced a real, documented over-indebtedness problem. Drawback: such caps can reduce access to credit for people who might have a genuine, manageable need to borrow more than the cap allows, potentially pushing some borrowers toward unregulated or informal lenders instead. A strong answer should weigh the reading’s own clear evidence of the reform’s stated success against this plausible unintended cost.

4. **Rank these four by how much financial trouble they signal: a large mortgage, a car loan, a credit-card balance carried every month, several “buy now, pay later” plans at once. Explain your order.**

There is no single correct order. A defensible ranking places several simultaneous “buy now, pay later” plans as the most concerning, since (as the reading implies) they are easy to lose track of across multiple providers and each individually seems small; a carried, uncleared credit-card balance next, given the reading’s explicit warning about compounding; then a car loan and a large mortgage as generally the least concerning on their own, since both are secured, planned, and (per the reading) priced more cheaply because the lender’s risk is lower. A learner ranking a large mortgage as most concerning could reasonably argue that its sheer size makes it dangerous if income changes, even at a lower rate.

5. **Advise a young adult who has just been offered their first credit card. What would you tell them to do and not do?** Strong advice drawn directly from the reading’s own mechanics: pay the full balance each month if possible, since any carried balance compounds and can grow quickly; understand that a credit card is unsecured, so it typically carries a much higher rate than a mortgage or car loan, and should not be treated as “cheap” borrowing; and be cautious about “buy now, pay later” offers stacking on top of card use, since the combination can make total debt harder to track. A learner naming any two or three of these specific, reading-grounded points should be credited.

Confidentiality note: Discuss public data only; do not ask learners to disclose their own debt levels or credit history.

1.3. Saving and Investing for the Long Term

Aim: Explain the difference between saving and investing, why time and compounding matter, and why low-cost index funds are hard to beat.

Target vocabulary: investing, diversification, index fund, actively managed fund, time horizon, tax-advantaged account.

Reading answers:

1. Saving is keeping money safe and available, usually in cash or a bank deposit, for short-term needs; investing is putting money into assets like shares, which can fall as well as rise but are expected to grow more over long periods.
2. Global shares returned an average of about 5% a year after inflation from 1900 to 2024, while government bonds returned under 2%.
3. Because a fall in value cannot be waited out in time if the money is needed soon.
4. About 88% of professionally managed US large-company funds did worse than the market index over the 15 years to mid-2025.
5. Because Japanese households have long held about half their financial assets in cash and deposits, far more than US or euro-area households, and that money earned very little as inflation returned after decades of near-zero price rises.

Discussion answers:

1. **Shares have paid more than cash over the long run, but with large swings along the way. Would you accept those swings for a higher expected return? Explain.**
This is a personal risk-tolerance question, but a strong answer should engage with the reading's own caution: the long-run 5% average "hides large swings," and even a 20-year period can differ greatly from that average — the 2000–2024 real return, for instance, was only about 3.5%. A learner accepting the swings might cite a long time horizon (decades until retirement) as their reason, echoing the reading's own point that time lets ups and downs "even out." A learner rejecting the swings for a specific near-term need is also well supported by the reading's explicit saving-versus-investing distinction.
2. **About 88% of professional US fund managers did worse than the index. Why might professionals, on average, fail to beat a simple market fund?** The reading gives a direct clue: "the fees those funds charge are a large part of the reason." A strong answer should explain the mechanism: an actively managed fund charges higher fees to pay for research and stock-picking, and those fees are subtracted from returns every year regardless of performance, so a manager must beat the market by more than their fee just to match a low-cost index fund's net return. A learner might add that with so many professional managers competing, it is mathematically difficult for a large majority to beat the market average, since collectively their trades make up much of "the market."

3. **Compare keeping savings in a bank deposit with investing them in an index fund, for someone aged 30 and for someone aged 65.** For someone aged 30, the reading's own logic supports investing more: a long time horizon (decades until the money is likely needed) means short-term swings can "even out," and the long-run return gap compounds significantly over that many years. For someone aged 65, likely closer to needing the money for retirement spending, the reading's saving-versus-investing distinction argues for keeping a larger share in accessible, low-risk savings, since a market fall shortly before or during retirement cannot easily be waited out. A strong answer should apply the reading's own time-horizon principle differently to each age, not just repeat generic advice.
4. **Governments use tax breaks to encourage long-term investing. Is that a good use of public money? Give your view.** In favour: the reading's own Japan example (the NISA reform) shows this can shift genuinely large sums — 27 million accounts by mid-2025 — out of low-earning cash and into investments, which may better prepare households for retirement and reduce future strain on public pension systems. Against: tax-advantaged accounts may disproportionately benefit people who already have money to invest, doing less for those who cannot afford to save much in the first place, so the public cost (lost tax revenue) may not be spread fairly. A strong answer should weigh the reading's own stated rationale (moving Japanese households out of ultra-low-earning cash) against this equity concern.
5. **Advise someone in their twenties who has just started saving each month. How should they split the money between cash and investments, and why?** A strong answer should apply the reading's core distinction directly: keep enough in cash/savings to cover short-term needs and emergencies (money that might be needed within a year or two should not be invested, per the reading's own rule), and invest the rest, especially money not needed for many years, given the long time horizon available and the historical return gap between shares and cash. A learner might also recommend starting with a low-cost index fund specifically, citing the reading's own evidence on actively managed funds underperforming, and considering a tax-advantaged account if available, following the reading's NISA example.

Confidentiality note: Discuss public data only; do not ask learners to disclose their own savings or investment holdings.

1.4. Housing Markets and Affordability

Aim: Explain what drives house prices, why housing became less affordable across much of the rich world, and why homes lose value in some places.

Target vocabulary: affordability, housing supply, zoning, upzoning, rent control, depreciation.

Reading answers:

1. Because low rates let buyers borrow more, so they can bid prices up.
2. Because land is limited and new building is controlled by planning rules, so supply cannot expand quickly even when demand rises.
3. Prices dropped about 14% from their 2021 peak, with the largest cities falling by around 20%.
4. The number of new homes approved each year roughly doubled, and rents rose more slowly than in the rest of New Zealand.
5. Because in Japan the building is treated as a wasting asset that loses value over time (with a tax-assigned life of about 22 years for a wooden house), unlike most other markets where houses are generally expected to gain value.

Discussion answers:

1. **Is a home better understood as an investment or as shelter? Does the answer change depending on the country?** The reading directly supports a “yes, it changes by country” answer: in much of the rich world (New Zealand, advanced economies generally), the article treats housing largely as an asset that has gained substantial value. In Japan, the reading explicitly reframes a home as “closer to a car than to a store of wealth” — a depreciating asset, with value concentrated in the land rather than the structure. A strong answer should use this direct contrast rather than assuming one universal answer, and could note that even within one country, different owners may reasonably see their home through either lens.
2. **Auckland allowed more building; Berlin tried to cap rents. Which approach is more likely to make housing affordable, and why?** The reading’s own evidence favours Auckland’s approach: after upzoning, new-home approvals “roughly doubled” and rents rose more slowly than the rest of New Zealand — a concrete, positive result. Berlin’s rent cap was struck down by the Constitutional Court on legal grounds (a city-level power issue), so the reading does not actually show whether it would have worked economically, only that it failed on constitutional grounds. A strong answer should note this is not simply “supply beats price controls” in principle — Berlin’s case was a legal defeat, not necessarily an economic one — but the reading’s clearest demonstrated success is Auckland’s supply-side approach.
3. **In Japan, houses lose value while the land holds it. What are the advantages and disadvantages of that pattern for ordinary buyers?** Advantage: buyers are less exposed to a housing bubble collapsing the way price-appreciation markets can (as

New Zealand's did after 2021), and buying a newer, better-built home is more straightforward since old structures are not expected to hold much value anyway — the reading notes heavy new construction continues despite a shrinking population. Disadvantage: a home cannot function as a store of wealth or retirement asset the way it can elsewhere, and the reading's own closing statistic — about 9 million vacant homes, 13.8% of the housing stock — suggests this pattern also creates a real, growing problem of abandoned or unused property. A strong answer should use both pieces of evidence, not just one side.

4. **Rank these by how much each would improve housing affordability in a high-price city: lower interest rates, looser zoning, a rent cap, a tax on empty homes. Explain your order.** There is no single correct order, since the reading provides evidence for and against several of these. A defensible ranking places looser zoning highest, given the reading's concrete Auckland evidence of roughly doubled approvals and slower rent growth; lower interest rates next, since the reading shows they directly drive demand and prices up, so reversing that (raising rates) would cool prices, though the reading frames this mainly as a cause of the problem rather than a tested affordability fix; a rent cap lower still, given Berlin's legal failure in the reading; and a tax on empty homes, which the reading does not directly test but which connects logically to Japan's vacant-homes problem. A learner should be assessed on using the reading's actual evidence for each item, not on matching one specific order.
5. **Advise a young couple deciding whether to buy a home now or keep renting and invest their savings instead. What should they weigh?** A strong answer should draw on the reading's core distinction between markets where housing has strongly appreciated (much of the rich world) and Japan's depreciating-structure pattern, since the right advice differs by market. In an appreciating market, buying may build wealth the way the reading describes for New Zealand pre-2022, but current affordability (prices still "about 20% above" pre-crisis levels even after recent falls) and interest-rate exposure are real risks. In Japan's pattern, a home functions more like a durable good than an investment, so the couple might weigh the value of housing stability and cost predictability against the fact that (as the article on Topic 1.3 discusses) investing the same money in a diversified index fund could earn more over time. A strong answer should connect its recommendation to the market conditions actually described in the reading, not treat "buy vs. rent" as one universal answer.

Confidentiality note: Discuss public housing-market data only; do not ask learners to disclose their own housing situation or finances.

1.5. Scams, Fraud and Financial Self-Defence

Aim: Explain how modern financial fraud works, why reported losses understate the problem, and how countries differ in protecting victims.

Target vocabulary: fraud, scam, phishing, authorised push payment, investment fraud, reimbursement.

Reading answers:

1. Because the figure counts only what was reported, and much fraud is never reported, out of embarrassment or because people do not know where to complain.
2. It is a scam where the victim is tricked into sending a bank transfer themselves; it is hard to reverse because the payment was technically approved by the account holder.
3. From October 2024 the UK requires banks to reimburse most victims up to £85,000 per claim, with the cost shared between banks; in most other countries, including the US and Japan, getting money back is far less certain.
4. Reported scam losses fell by about 26%, after coordinated action by government, banks and telecoms firms.
5. Suspending cash-machine transfers for older customers who have not used the function recently, capping daily withdrawals, and training convenience-store staff to question elderly customers buying large numbers of prepaid cards.

Discussion answers:

1. **The UK now makes banks refund most transfer-fraud victims. What are the benefits of that rule, and what problems could it create?** Benefit: victims are protected from often devastating losses even when they were personally tricked into approving the transfer themselves, which the reading notes is otherwise “far less certain” to be recovered elsewhere. Problem: if banks bear most of the cost regardless of circumstances, this could reduce individual customers’ incentive to stay vigilant, or could raise costs for banks that get passed on to all customers through fees; it could also encourage a small number of false claims. A strong answer should weigh the reading’s clear victim-protection benefit against this plausible incentive or cost concern.
2. **Fraud in several countries targets elderly people in particular. Whose responsibility is it to protect them — the banks, the family, the government, or the individual? Explain.** This is genuinely open, and the reading shows multiple actors already involved: Japanese banks add friction specifically for older customers, convenience stores train staff to intervene, and the reading’s own self-defence advice is addressed to individuals. A strong answer could argue responsibility is necessarily shared — banks and shops can add practical friction at the point of transaction, government can require and coordinate this (as in Australia’s 26% reduction after “coordinated action by government, banks and telecoms firms”), and families can

watch for warning signs the institutions cannot see. A learner arguing one party should bear primary responsibility should explain why that party is best placed to act.

3. **Adding “friction” (delays, limits, warnings) reduces fraud but also annoys honest customers. Where should the balance sit?** A strong answer should use the reading’s specific Japanese examples (suspended cash-machine transfers for infrequent users, daily withdrawal caps, staff questioning large prepaid-card purchases) to reason about proportionality: friction targeted specifically at unusual or high-risk transactions (a customer who rarely transfers money suddenly doing so, or buying many prepaid cards at once) protects vulnerable people while leaving most routine transactions unaffected. Blanket friction applied to everyone regardless of risk would likely cause more inconvenience for less protective benefit. A strong answer should argue for targeted rather than universal friction, using the reading’s own examples as the model of what “targeted” looks like.
4. **Compare protecting people by refunding victims afterwards with protecting them by stopping the payment beforehand. Which is more effective?** Refunding afterwards (the UK model) ensures financial harm is undone once fraud is discovered, but it does not prevent the emotional distress, time, and disruption of being scammed in the first place, and — as the discussion above raises — creates a real cost that must be paid by someone. Stopping the payment beforehand (the “friction” measures Japan uses) prevents the loss from happening at all, but risks blocking or delaying genuine transactions and cannot catch every scam, especially newer or unusual ones. A strong answer should note these are not mutually exclusive — a system could and arguably should use both — rather than picking one as clearly superior.
5. **Design a short checklist you would give an older relative to help them recognise and resist a scam call.** This is a creative task — assess it on whether it draws on the reading’s own advice and examples, not on a fixed wording. A strong checklist should include: treat any unexpected contact about money as suspicious (the reading’s own first rule); never act because someone is pressuring you to move money quickly; and always check a request through a phone number or app you found yourself, not one the caller gave you. A learner could add reading-specific details, such as being especially wary of a call claiming to be from a relative in trouble or a police officer, since the reading names this as Japan’s classic “special fraud” pattern.

Confidentiality note: Discuss public data and general scam patterns only; do not ask learners to discuss whether they or a family member have been targeted or victimised.

2.1. How Companies Raise Money

Aim: Explain the two basic ways a company funds itself, the difference between staying private and going public, and why fewer companies list than before.

Target vocabulary: equity, debt, initial public offering (IPO), listing, private equity, venture capital.

Reading answers:

1. Figma sold shares to the public and listed on the New York Stock Exchange; SpaceX stayed private and raised money by selling shares to selected investors without ever listing.
2. Equity means selling ownership shares, which never has to be repaid but gives new owners a claim on profits and a say in decisions; debt must be repaid with interest regardless of how business is doing, but ownership stays unchanged.
3. It peaked at more than 8,000 in 1996 and is now roughly half that.
4. Private capital is a large pool of money (about US\$22 trillion worldwide by 2024) that lets big companies raise billions and delay listing for years instead of going public.
5. It lent to the company, held its shares, and watched over management.

Discussion answers:

1. **Selling equity means giving up part ownership and some control. When is that a price worth paying, and when is it not?** It is generally worth it when a company needs a large amount of money it could not otherwise raise or repay through debt (especially for a fast-growing, unprofitable company that cannot yet service loan repayments), and when the new owners bring valuable expertise or connections alongside their money. It is less worth it when the company can raise what it needs through debt at a manageable cost and wants to preserve full ownership and decision-making control — as SpaceX's example shows is possible even at very large scale. A strong answer should use the Figma/SpaceX contrast directly to illustrate both sides.
2. **Many large companies now stay private for years. What do ordinary savers lose if the most successful firms never list?** Ordinary savers who invest through public markets (via a pension fund, index fund, or their own brokerage account) cannot buy shares in a company like SpaceX unless and until it eventually lists, meaning they miss out on any growth in value that happens while the company is private — value that, in SpaceX's case, is already valued higher than most listed companies. This connects to the reading's own point that private capital "now lets big companies raise billions and delay listing for years," meaning the public misses a growing share of some of the most successful companies' growth. A strong answer should note this is a real, structural shift, not a hypothetical concern.
3. **Bank lending dominates corporate finance in Japan; share markets dominate in the United States. What are the strengths of each system?** Bank-centred finance

(Japan's traditional "main bank" model) gives a company a long-term, relationship-based lender who "watched over management," potentially providing patient, stable funding and oversight less driven by quarter-to-quarter share-price pressure. Market-centred finance (the US model) gives companies access to a very large, liquid pool of capital and lets many different investors, not just one bank, share the risk and reward, which the reading's TSE reform discussion suggests can also create useful pressure to improve capital efficiency. A strong answer should note Japan's own system is described as "slowly unwinding," suggesting Japan itself sees value in moving somewhat toward the market-based model.

4. **The Tokyo Stock Exchange is pressing companies to raise their share prices. Should an exchange do that, or is it none of its business?** In favour: an exchange has a legitimate interest in the health and attractiveness of the market it runs, and the reading frames this as aimed "especially at the many firms trading below the value of their own assets" — a specific, measurable problem the exchange can reasonably want fixed to keep its market credible and attractive to investors. Against: a critic could argue an exchange pressuring listed companies on strategy crosses from being a neutral marketplace operator into influencing corporate decisions that should be left to shareholders and boards. A strong answer should weigh the exchange's stated, specific rationale against this independence concern.
5. **You advise the founder of a fast-growing company deciding whether to go public. Set out the two main questions they should answer first.** Strong first questions, grounded in the reading's own framing: (1) How much capital do we actually need, and can it be raised through private equity or venture capital instead of a public listing, given that private capital now lets companies "raise billions and delay listing for years"? (2) How much ownership and control are we willing to give up, and for what — since equity "gives new owners a claim on future profits and a say in decisions," a founder needs to weigh the cost of dilution and public scrutiny against the benefits of public capital and liquidity. A learner naming two distinct, reading-grounded questions should be credited.

Confidentiality note: Discuss public companies and public market data only.

2.2. Startups, Venture Capital and Failure

Aim: Explain how young companies raise money in stages, why most of them fail, and what venture investors expect from the few that succeed.

Target vocabulary: startup, seed funding, funding round, down round, exit, unicorn.

Reading answers:

1. About five reach year five and about three reach year ten.
2. Each stage (seed funding, then Series A, B, and so on) buys the company time to reach a specific milestone, with each round selling a further slice of ownership, usually at a higher price than the last, meant to last until the next milestone.
3. Because the large majority of their investments fail entirely, so the rare successful company must return many times its cost to make the fund overall profitable.
4. A “down round” is a funding round at a lower valuation than the previous one; it hurts founders and early staff, whose existing shares are diluted in value.
5. Japan had about seven unicorns in 2023 against more than 600 in the United States; the Japanese government adopted a five-year plan in 2022 to lift the number of startups and unicorns, backed by public money and tax incentives.

Discussion answers:

1. **In venture capital, most investments are expected to fail. Is that a sensible way to use pension savings? Give reasons.** In favour: the reading shows this is a known, structured model, not reckless gambling — investors “know most of their bets will fail” and design the fund so a rare large winner covers the losses, and pension funds typically only allocate a small, diversified portion of their total assets to venture capital rather than betting everything on it. Against: pension savings are meant to be relatively secure for people’s retirement, and a model built around expecting most individual bets to fail could seem inappropriate for money that needs to be reliably available decades later, regardless of the overall fund-level strategy. A strong answer should note the reading’s own framing of failure as “the normal outcome” of the whole model, not evidence of poor individual decisions.
2. **A “down round” punishes founders and early employees for raising money at a high price earlier. Is that fair?** In favour of it being fair (or at least reasonable): valuations are estimates of a company’s future prospects, and if the market’s assessment of those prospects genuinely worsens, a lower valuation reflects real, updated information rather than an arbitrary penalty — the reading frames it as a natural consequence “when funding tightens.” Against: an early employee who accepted lower salary in exchange for equity based on the earlier, higher valuation faces a real, unearned personal cost from market-wide conditions (a broad funding downturn) that had nothing to do with their own performance. A strong answer should note this affects founders and staff differently from professional investors, who typically diversify across many companies.

3. **Governments in Japan and elsewhere use public money to encourage startups. When is that a good use of public funds, and when is it not?** It can be a good use when a country's venture ecosystem is genuinely underdeveloped relative to its economic potential — the reading's own contrast of seven Japanese unicorns against more than 600 American ones suggests a real gap public policy might reasonably try to close. It is a weaker use of funds if the underlying constraint is not a lack of capital but something else entirely (culture, regulation, risk appetite) that money alone cannot fix, or if public funding simply displaces private investment that would have happened anyway. A strong answer should use the reading's specific Japan number as evidence for its position.
4. **Almost half of recent venture money went to artificial intelligence companies. What are the risks of investment being concentrated in one field?** Risks include a bubble-like dynamic where a large share of available capital is chasing similar opportunities, potentially inflating valuations beyond what the underlying businesses can justify; if the sector cools, the concentration means a much larger share of the whole venture ecosystem's returns depend on one field's outcome, rather than being spread across many independent bets, which is exactly the diversification the model normally relies on to manage risk. A strong answer should connect this to the reading's own explanation of how the model is supposed to work — spreading many failed bets against rare large wins — and note that heavy concentration undermines that spreading.
5. **You advise someone deciding whether to join a startup or take a secure job at a large firm. Set out the two main trade-offs they should weigh.** Strong trade-offs drawn directly from the reading: (1) job and income security versus the chance (small, per the reading's own survival statistics) of a large financial reward if the company succeeds and reaches a successful exit; (2) the reading's own statistic that only about three in ten new US businesses reach year ten should weigh heavily — a strong answer should note this makes failure the statistically likely outcome, not a remote risk, so the decision should be made with that base rate in mind, not just the appeal of a rare large success.

Confidentiality note: Discuss public data and named public cases only.

2.3. The Gig Economy and Income Security

Aim: Explain what platform work is, why the “employee or self-employed” question matters so much, and how different countries have answered it.

Target vocabulary: platform work, the gig economy, self-employed, independent contractor, worker status, collective bargaining.

Reading answers:

1. Earnings that swing week to week, and usually no paid holiday, sick pay, employer pension contribution or unemployment cover.
2. That Uber drivers are “workers”, a middle category entitled to the minimum wage and paid leave, with working time counted from the moment the app is switched on.
3. It presumes a platform worker is an employee unless the company can show otherwise; member states must write it into national law by December 2026.
4. Ride-hailing and delivery companies funded a ballot measure, Proposition 22, that carved themselves out of the state’s employee-reclassification law, and California’s Supreme Court upheld it in 2024.
5. State the work and fee in writing, pay within 60 days, guard against harassment, and give 30 days’ notice before ending a continuing contract.

Discussion answers:

1. **Platform workers often say they value flexibility above employee benefits. Should the law let them make that trade, or protect them regardless?** In favour of letting workers choose: the reading opens by noting the rider “values the freedom to choose hours,” suggesting the flexibility itself has real worth to at least some workers, and a rigid one-size-fits-all employee status could remove an option some genuinely prefer. In favour of protecting them regardless: the reading notes the same worker “carries risks an employee does not” — swinging income, no sick pay, no pension contribution — and an individual worker may not have real bargaining power to negotiate for both flexibility and security, so the law protecting a baseline regardless of preference (as the EU’s 2024 directive does) may be necessary. A strong answer should note the UK’s “worker” middle category as one attempt to offer both at once.
2. **If gig drivers become employees, companies may offer less flexible work or hire fewer people. How should lawmakers weigh that risk?** A strong answer should note this is a genuine, unresolved trade-off the reading itself illustrates through very different national responses — the EU’s presumption-of-employment approach accepts this risk in exchange for stronger worker protection, while California’s Proposition 22 outcome reflects a choice (backed by a very large industry campaign) to preserve the existing flexible-but-less-protected model. Lawmakers could weigh this by monitoring actual outcomes after a change (does hiring or flexibility genuinely fall, as some claim, or does the reading’s Japan example show a middle path — extra

duties on companies without full reclassification — can add protection with less disruption) rather than assuming either side’s prediction is automatically correct.

3. **The United Kingdom uses a three-way split of employee, “worker” and self-employed. Would a middle category help or confuse things in your country?** This is genuinely open and depends on the learner’s own context, but a strong answer should engage with what the reading shows the middle category actually achieves: it gave Uber drivers the minimum wage and paid leave — real protections — without full employee status. A learner could argue a middle category helps by matching legal protection more precisely to how people actually work, rather than forcing a binary choice; another could argue it simply adds a third set of rules and disputes about which category workers fall into, without resolving the underlying tension the reading describes.
4. **Japan chose fair-dealing rules for freelancers rather than making them employees. What are the strengths and limits of that approach?** Strength: it adds meaningful, concrete protections (written terms, a 60-day payment deadline, notice before ending a contract) without requiring the harder, more disruptive legal step of reclassifying millions of workers as employees, which the reading shows has caused major legal and political battles elsewhere (California’s Prop 22 fight). Limit: it does not address the core income-security gaps the reading opens with — no paid holiday, no sick pay, no employer pension contribution — since these remain tied to actual employee status, which Japan’s Freelance Act does not grant. A strong answer should note the separate Tokyo labour-board ruling on Uber Eats couriers as evidence Japan is still working out worker status through other channels too.
5. **You advise a government drafting new rules for platform work. Suggest two protections that should apply no matter how workers are classified.** Strong, reading-grounded suggestions: (1) a guaranteed minimum payment structure and timely payment terms, echoing Japan’s Freelance Act requirement to pay within 60 days, regardless of employee status; (2) some form of income-security cushion — even a modest one — for periods without work, addressing the reading’s opening description of “earnings that swing from week to week” without employer-backed unemployment cover. A learner could instead propose a right to collective bargaining regardless of formal classification, citing the Tokyo Uber Eats ruling as precedent for extending that specific protection without a full employment reclassification.

Confidentiality note: Discuss public legal cases and government data only.

2.4. Executive Pay and Inequality Inside Firms

Aim: Explain how top executive pay is built, how it compares with a typical worker's pay in different countries, and what rules and votes now surround it.

Target vocabulary: executive compensation, base salary, stock-based pay, pay ratio, say-on-pay vote, disclosure.

Reading answers:

1. It rose from about 21 times in 1965 to about 281 times in 2024.
2. Base salary, an annual bonus tied to results, and stock-based pay; stock-based pay is usually the largest part for a big American chief executive.
3. The ratio of chief executive pay to the pay of their median employee.
4. A binding vote means the company may not pay outside an approved policy; an advisory vote means the board can proceed even if shareholders vote no.
5. Japan's median ratio is roughly 10 times, far below the American figure; the number of Japanese executives paid 100 million yen or more rose from fewer than 300 in 2009 to a record 1,345 in the year to March 2025.

Discussion answers:

1. **Much top pay is in stock, so its value rises and falls with the share price. Does that tie pay to performance, or mostly to luck?** In favour of "performance": tying pay to the share price does give executives a direct financial stake in the same outcome shareholders care about, and the reading notes supporters call it "pay for performance" for exactly this reason. In favour of "mostly luck": the reading itself raises the counter-case directly — critics call it "a windfall in a rising market," since broad market movements unrelated to a specific executive's decisions can inflate or deflate the value of their stock-based pay regardless of how well they actually managed the company. A strong answer should note both views appear directly in the reading and pick a side with reasoning, or argue the truth lies somewhere between the two.
2. **In the United States the "say on pay" vote is only advisory. Should shareholders be able to block a pay package outright?** In favour of a binding vote: it gives shareholders (the actual owners) real, enforceable power over what the reading shows can be an enormous sum, rather than a vote that can simply be overridden by the board — the UK/European binding model already works this way. Against: an advisory vote still creates real reputational pressure on a board (the reading's Netflix example shows shareholders can and do vote no, even without binding power), and a binding vote could, in principle, create governance disputes or uncertainty if shareholders and the board disagree sharply. A strong answer should note the reading's own contrast between the UK/Europe and US systems as direct evidence for either position.
3. **Japan discloses the pay of any director earning 100 million yen or more, by name. Is naming individuals fair, or an invasion of privacy?** In favour of naming: the

reading frames this as part of a broader push for transparency around a genuinely public concern (how much value goes to top executives relative to typical workers), and shareholders and the public arguably have a legitimate interest in knowing exactly how a company's leadership is compensated, since it affects the interests of all shareholders. Against: it singles out named individuals' personal finances for public disclosure in a way ordinary employees' pay is not subject to, which some could see as disproportionate scrutiny simply for holding a senior role. A strong answer should note this is specifically about high earners at listed companies, not private individuals generally, and weigh whether that distinction justifies the disclosure.

4. **Switzerland banned sign-on and severance bonuses for executives. Would such a ban help or backfire?** In favour of the ban helping: it directly removes payments the reading implies are contentious specifically because they are not tied to actual performance during employment (a bonus simply for joining or for leaving), addressing a clear public and shareholder concern about pay disconnected from results. Against, or "backfire": a company competing internationally for top executive talent might struggle to attract candidates who can get such packages elsewhere, potentially pushing the best candidates toward companies in countries without the ban. A strong answer should note the reading presents this as a real, enacted policy (by referendum in 2013), not a hypothetical, which a learner could use to ask what evidence exists about its actual effects, even if the reading itself does not report that outcome.
5. **You advise a company board setting the chief executive's pay. Suggest two principles it should follow to keep the package defensible to shareholders.** Strong principles grounded in the reading: (1) ensure a meaningful share of stock-based pay is genuinely tied to specific, disclosed performance measures, not simply linked to the general share price, so the "pay for performance" defence actually holds up under scrutiny; (2) benchmark and disclose the pay ratio to the median employee clearly and be prepared to explain it, following the reading's own description of the US/UK disclosure requirement, since an unexplained wide gap invites exactly the kind of shareholder pushback seen in the Netflix case. A learner could instead propose transparent, publicly disclosed criteria for the annual bonus, provided they connect it to the reading's three-part pay structure.

Confidentiality note: Discuss public disclosures and named public cases only; do not ask learners to discuss their own or their employer's pay.

2.5. Banks: What They Do and How They Fail

Aim: Explain the basic job of a bank, why that job makes every bank fragile, and how deposit insurance and a central bank try to prevent runs.

Target vocabulary: deposit, maturity transformation, bank run, deposit insurance, lender of last resort, collateral.

Reading answers:

1. They tried to withdraw more than US\$40 billion in a single day, faster than any bank run in modern records.
2. Maturity transformation is turning short-term deposits (withdrawable any time) into long-term loans (mortgages, business loans); it leaves a bank unable to repay all depositors at once if enough ask for their money together.
3. A government-backed promise to repay small savers up to a limit if their bank fails; the US limit is US\$250,000 per depositor per bank, and Japan's is 10 million yen plus interest (with settlement accounts covered in full).
4. The central bank lends cash to a sound bank against good collateral, so the bank does not have to sell assets in a panic to meet withdrawals.
5. Swiss authorities arranged for UBS to take over Credit Suisse over a weekend, backed by central bank funding and a government guarantee; depositors lost nothing, but shareholders and holders of certain risky bonds lost heavily.

Discussion answers:

1. **Deposit insurance protects savers but is paid for by the banking industry and, ultimately, could fall on taxpayers. Is that protection worth the cost?** In favour: the reading's own explanation of maturity transformation shows that "even a sound bank" can be forced into a run purely from depositor fear, not mismanagement, so a system that protects ordinary savers from a risk they cannot control or foresee seems justified — its explicit purpose is to "remove the reason for an ordinary saver to join a run" in the first place. Against: a cost ultimately borne partly by taxpayers to protect an industry's stability could be seen as an unfair subsidy, and (a common but not reading-stated critique) some argue deposit insurance can make banks or savers less careful, since the safety net reduces the consequences of risk-taking. A strong answer should ground its "in favour" case in the reading's own run-prevention mechanism.
2. **A bank run can bring down a bank that is basically sound. Does that justify governments guaranteeing deposits, or does it encourage banks to take more risk?** Both can be true at once, and a strong answer should hold both ideas together rather than picking only one. The reading's Northern Rock example shows guarantees can be genuinely necessary to stop a self-fulfilling run once panic starts. But a bank that knows depositors are protected regardless of its own decisions may take on riskier loans or investments than it otherwise would, since the immediate discipline of

depositor flight is weakened — this is the same underlying tension the reading raises about deposit insurance more broadly.

3. **Some banks are treated as too important to fail. What problems does that create, and what could reduce them?** Problems: if a bank expects to be rescued regardless of outcome (as the Swiss authorities effectively did for Credit Suisse), it may take on more risk than it would if it faced a genuine risk of failure, and the cost of a rescue — even one structured to protect depositors while shareholders and certain bondholders “lost heavily,” as in the Credit Suisse case — still involves significant public and central-bank resources. What could reduce this: the reading’s own Credit Suisse example shows one partial answer already in use — shareholders and risky-bond holders bore real losses even while depositors were protected, meaning a rescue does not have to mean nobody pays a price; regulators could also require larger capital buffers specifically at the largest, most systemically important banks (echoing the stress-testing theme from Book A) so a rescue is less often needed at all.
4. **Japan’s 1997–98 crisis involved many banks at once, not one. Why is a system-wide banking crisis harder to handle than a single failure?** A strong answer should reason from the reading’s own closing point: “a bank’s stability rests less on its own vault than on the belief that the safety net behind it will hold.” When only one bank fails, depositors and markets can reasonably believe the rest of the system is sound and the safety net (deposit insurance, a lender of last resort) will hold for everyone else. When many banks fail together, that belief itself can collapse — depositors may fear the whole safety net is overwhelmed, triggering runs on otherwise healthy banks too, which is exactly why the reading notes Japan’s clean-up was “slow and costly” and took years, unlike a contained single-bank case like Credit Suisse’s weekend resolution.
5. **You advise a country setting its deposit-insurance limit. Suggest two things it should weigh in choosing the figure.** Strong factors grounded in the reading’s own comparisons: (1) how the figure compares with typical household savings in that country, since the purpose is to remove “the reason for an ordinary saver to join a run” — a limit set too low relative to normal savings would fail to achieve that purpose, while the US (US\$250,000) and Japan (10 million yen, roughly a much lower figure in dollar terms, but with full coverage of everyday settlement accounts) show real countries setting this differently; (2) the potential cost to the fund (ultimately backed by the industry and, in a severe crisis, potentially the government) of a limit set very high, since a higher limit protects more savers fully but also means the fund must be prepared to pay out more in a genuine system-wide crisis like Japan’s 1997–98 episode.

Confidentiality note: Discuss public regulatory data and named historical cases only.

3.1. What Moves Stock Markets

Aim: Explain the main forces that move stock market indexes — earnings, interest rates, sentiment, and concentration in a few large companies.

Target vocabulary: stock index, market capitalisation, fundamentals, index concentration, investor sentiment, volatility.

Reading answers:

1. Company earnings, interest rates, investor sentiment, and index concentration.
2. Mainly from higher earnings rather than investors paying more per dollar of profit.
3. Because higher rates make borrowing costlier for companies and make safe bonds a more attractive alternative to shares.
4. The VIX measures how much volatility options traders expect in the US market over the next month; it stays low when markets are calm and jumps when investors rush to buy protection during a sell-off.
5. Because investors read the rate rise as removing uncertainty (about the direction of policy) rather than simply adding a new cost to borrowing.

Discussion answers:

1. **Financial news usually explains a market move with a single cause. Given the four drivers in the reading, how useful are those daily explanations?** A strong answer should note the reading's own opening framing directly criticises this habit: news "usually" names one cause, but "all three [now four] are real drivers." A single-cause daily explanation can be useful as a quick, digestible summary, but risks being misleading if it ignores which of several forces (earnings, rates, sentiment, concentration) actually dominated that day, or if more than one was at play together — as the reading's own Nikkei example shows, where a rate rise (usually a negative driver) produced a positive result once sentiment and expectations were factored in.
2. **When ten companies make up 40% of an index, is that index still a good measure of "the market"? Explain.** In favour of "still useful": the index still tracks real, large companies whose fortunes matter broadly to the economy, and it remains a widely used, consistent benchmark investors can compare against over time. Against: the reading's own point is direct — "when an index leans this heavily on a few firms, its daily direction can be set by one company's news," meaning the index increasingly reflects the fortunes of a small handful of companies (mostly tied to one theme, artificial intelligence) rather than a broad cross-section of the whole economy, which may no longer match what "the market" intuitively means to most people. A strong answer should use the reading's own 40.7% figure as direct evidence for the concern.
3. **Sentiment can move prices for days without any change in earnings or rates. Should investors pay attention to sentiment, or ignore it?** In favour of paying attention: sentiment can genuinely move prices in the short term (the reading's VIX explanation shows this is a real, tracked phenomenon), so an investor who needs to

trade or make decisions in the near term cannot safely ignore it. In favour of largely ignoring it for long-term decisions: the reading frames earnings and interest rates as the more “durable” and “fundamental” drivers, implying sentiment-driven moves are often temporary noise around that underlying trend — a long-term investor may do better tuning out short-term sentiment swings rather than reacting to them. A strong answer should distinguish between a short-term trader’s needs and a long-term investor’s needs.

4. **Compare earnings and interest rates as drivers of stock prices. Which would you watch more closely, and why?** Earnings directly measure a company’s actual performance and are described in the reading as “the most durable driver,” making them arguably the most fundamentally important signal over time. Interest rates affect the whole market at once through borrowing costs and the relative appeal of bonds versus shares, meaning a single rate decision (as the ECB and Bank of Japan examples show) can move many companies’ share prices simultaneously regardless of their individual earnings. A strong answer should pick one and justify the choice using the reading’s own framing — for a specific company’s outlook, earnings; for the market as a whole moving together, interest rates.
5. **A friend in Japan asks whether a Bank of Japan rate rise is good or bad for their share investments. Advise them, using the reading.** A strong answer should resist a simple yes/no and use the reading’s own nuanced conclusion directly: “the same news can push a market either way, depending on what investors already expected.” The reading’s own June 2026 example shows a BOJ rate rise, which “usually” weighs on shares, actually coincided with the Nikkei rising because investors read it as removing uncertainty rather than adding cost. The honest advice is that the effect depends on what the market had already priced in beforehand, not simply on whether the rate went up or down — a learner should explain this mechanism, not just predict an outcome.

Confidentiality note: Discuss public market data only; do not ask learners to discuss their own investment positions.

3.2. Bubbles, Crashes and Manias

Aim: Show the recurring pattern behind asset bubbles across four centuries, and why the aftermath often matters more than the crash.

Target vocabulary: asset bubble, speculative mania, herd behaviour, leverage, “this time is different” thinking, peak-to-trough decline.

Reading answers:

1. Buyers simply stopped bidding, sellers lowered prices repeatedly, and still no one bought — the market for tulip bulbs collapsed within days.
2. Cheap or borrowed money (leverage), herd behaviour, and a belief that “this time is different.”
3. The Dow took until November 1954, about a quarter of a century, to regain its 1929 level; the Nikkei 225 took 34 years to regain its 1989 level, reclaiming it in February 2024.
4. Because they were left holding loans backed by land worth a fraction of its former value once the bubble burst.
5. That a bubble forms the same way each time (easy money and rising prices draw in buyers, belief the rise cannot stop becomes general, then it stops), even though the specific asset (bulbs, shares, land, tokens) differs.

Discussion answers:

1. **The reading says the belief “this time is different” appears before nearly every bubble. Why is that belief so hard to resist during a boom?** A strong answer should reason from the reading’s own logic: during a boom, rising prices themselves seem to provide evidence that the old rules no longer apply — each new high makes sceptics look wrong in the moment, even if they are eventually proven right. Herd behaviour reinforces this: as the reading notes, “people buy because others are buying,” so an individual doubting the boom faces visible short-term cost (missing out on rising prices) for a benefit (avoiding the eventual crash) that has not yet arrived and may feel abstract or distant.
2. **Bubbles have formed around very different assets: bulbs, shares, land, cryptocurrencies. What makes some assets more prone to bubbles than others?** A strong answer should reason beyond the reading’s direct text, since it does not state this explicitly, but can draw on the shared features named across all four cases: assets that are hard to value with certainty (a new or unusual asset, or one whose “true” value is genuinely uncertain), that can be bought with borrowed money (leverage), and that lend themselves to storytelling about a transformed future (“this time is different”) appear more vulnerable. The reading’s own examples — a rare flower, a new stock-market technology sector, land during rapid credit expansion, a genuinely novel cryptocurrency — all fit this pattern of high uncertainty plus easy borrowing plus a compelling new story.

3. **The aftermath of a bubble ranged from weeks (Luna) to decades (the Nikkei). What determines how long the recovery takes?** The reading gives a direct answer in its closing lines: “the risk of a slow one grows with the length of the boom and the amount of borrowed money behind it.” Luna’s boom and collapse both happened extremely fast and (as a purely digital asset) involved less embedded borrowing throughout the wider economy; Japan’s bubble built over years with land used as loan collateral throughout the banking system, meaning the damage was deeply intertwined with the whole economy’s financial structure, making recovery correspondingly slower and more painful.
4. **Compare the 1929 crash with the 2022 Luna collapse. What is similar, and what is different?** Similar: both followed the same underlying sequence the reading describes — rising prices drawing in more buyers, a belief the rise would continue, then a sudden reversal; both also show the “this time is different” thinking Reinhart and Rogoff traced across centuries. Different: the 1929 crash unfolded over roughly three years to its low point and took a further quarter-century to fully recover, deeply embedded in the wider economy through widespread margin lending and bank exposure, while Luna’s collapse happened within days and, being a newer, more contained digital asset, did not carry the same decades-long drag on the broader economy. A strong answer should use both the shared pattern and the specific difference in speed and depth.
5. **Design three warning signs an investor could watch for to judge whether a rising market has become a bubble.** Reasonable signs, drawn directly from the reading’s own three named ingredients: (1) a sharp rise in borrowing or leverage being used to buy the asset, echoing the reading’s description of “cheap or borrowed money”; (2) widespread justification for the price rise built on the idea that old valuation rules no longer apply — a “this time is different” narrative; (3) buying driven visibly by the fact that others are buying (herd behaviour) rather than by any change in the asset’s underlying value or usefulness. Any three specific signs drawn from the reading’s own framework should be accepted.

Confidentiality note: Discuss public historical and market data only; do not ask learners to discuss their own investment decisions.

3.3. Commodities: Oil, Metals and Food

Aim: Explain why the prices of raw materials swing so sharply, and contrast a sudden supply shock with a slower, structural price story.

Target vocabulary: commodity, benchmark price, supply shock, strategic reserve, price-taker, self-sufficiency rate.

Reading answers:

1. Because Russia's invasion of Ukraine removed a large share of the world's wheat supply (the two countries together supplied roughly 30% of world wheat exports), pushing the world price up at once.
2. That prices are set globally, so a shock anywhere reaches buyers everywhere, and higher commodity prices feed quickly into inflation.
3. The UN and Türkiye brokered a protected shipping corridor that moved grain out of Ukraine's Black Sea ports, and the index fell back as harvests and trade adjusted.
4. Because it imports nearly all its oil, gas and coal, and is close to a pure price-taker — too small a share of any market to move the price itself, so it simply pays the going rate, worsened by a weakening yen.
5. Because Japan grows almost all its own rice, yet a domestic shortage still pushed retail prices up sharply — showing that producing something yourself lowers exposure to world prices but does not remove price risk entirely.

Discussion answers:

1. **Governments hold strategic reserves of oil and grain. Should every import-dependent country do this, given the cost of storage?** In favour: the reading shows a strategic reserve provided a real, usable response when a genuine shock hit (the 2022 release easing the oil-price shock), and for a country as import-dependent as Japan (holding "well over 200 days of oil reserves"), the cost of storage may be a reasonable insurance premium against a much larger economic disruption if a shock hits with no reserve available. Against: maintaining large reserves is a real, ongoing cost, and a smaller or lower-income country with fewer resources might not be able to afford the same scale of reserve that a country like the US or Japan can. A strong answer should weigh the demonstrated benefit against the real cost, rather than assuming reserves are automatically worth it for every country.
2. **For some metals, the main price risk is one country's export policy rather than weather or war. What can other countries do about that kind of risk?** The reading's own China rare-earths example (roughly 60% of world mining, about 90% of processing) shows this concentration is a real, specific vulnerability, distinct from a weather- or war-driven shock. Countries could diversify supply by developing alternative sources or processing capacity elsewhere (though the reading notes this is currently heavily concentrated, suggesting it would take real investment and time), or build their own strategic reserves of critical minerals specifically, following the same

logic already applied to oil. A strong answer should note this is a slower-moving, policy-driven risk rather than a sudden shock, so the appropriate response (diversifying supply chains over years) differs from responding to a sudden war-driven shock.

3. **The reading says producing something yourself lowers exposure to world prices but does not remove price risk. Do you agree? Use the rice example.** The reading's own rice example is direct, strong evidence for this claim: Japan grows almost all its own rice, which should in principle insulate it from world price shocks, yet a domestic shortage in 2024 still pushed retail prices up sharply. A strong answer should explain why: even fully domestic production remains vulnerable to domestic supply shocks (a poor harvest, in this case), so self-sufficiency changes the *source* of price risk (from world markets to domestic conditions) rather than eliminating price risk altogether.
4. **Compare a sudden oil supply shock with China's slower-moving rare-earth export controls. Which is harder for a government to manage, and why?** A sudden oil shock (like the 2022 spike) is dramatic and highly visible, but the reading shows it has established, relatively fast tools available — a strategic reserve release provided real, near-immediate relief. China's rare-earth export controls build more slowly and depend on a structural, years-long concentration of global supply in one country's hands, which cannot be fixed quickly by releasing a stockpile — building alternative mining or processing capacity elsewhere takes years, not weeks. A strong answer should argue the slower-moving structural risk is, in some ways, harder to manage precisely because there is no quick tool equivalent to a strategic reserve release available to fix it.
5. **Advise a food importer on three steps it could take now to reduce the impact of a future commodity-price shock.** Reasonable steps, echoing the reading's own examples of how governments and buyers manage commodity risk: (1) diversify suppliers across multiple countries or regions, so a single shock (like the Russia-Ukraine wheat disruption) does not cut off all supply at once; (2) build in some stockpiling or reserve capacity where practical, following the strategic-reserve logic; (3) use long-term contracts where possible to lock in more predictable pricing rather than relying entirely on volatile spot-market purchases at the moment of need. Any three specific, reading-grounded steps should be accepted.

Confidentiality note: Discuss public commodity-market data only; do not ask learners to discuss their own employer's supply-chain arrangements.

3.4. Currencies and Exchange Rates

Aim: Explain what makes a currency rise or fall, and challenge the idea that a weak currency is simply bad news.

Target vocabulary: exchange rate, floating exchange rate, fixed exchange rate, currency intervention, interest rate differential, currency peg.

Reading answers:

1. The gap between interest rates in different countries — money tends to move toward wherever it earns more.
2. Because the US Federal Reserve raised its rate sharply while the Bank of Japan held its rate near zero, so investors moved money out of yen and into higher-yielding dollars.
3. It intervened in the currency market, selling dollars to buy yen, to slow the fall; the limit is that intervention can smooth a move but rarely reverses a genuine interest-rate gap.
4. It made Japanese exports cheaper abroad, helping exporters' profits, but made imported oil, gas and food more expensive, hurting households.
5. It gives up independent control of its own interest-rate policy, since it must follow the anchor country's (usually the US Federal Reserve's) rate decisions.

Discussion answers:

1. **The reading argues a weak currency is not simply bad. Do you find that convincing? Give reasons from the text.** A strong answer should engage with the reading's specific evidence: exporters (carmakers) saw record profits, and tourism hit record numbers because visitors found Japan cheap — genuine benefits, not just theoretical ones. The reading itself does not deny the real cost to households (more expensive imported energy and food), so the strongest version of "convincing" is that the reading shows a weak currency redistributes value between groups rather than being purely good or bad overall — a learner unconvinced could argue that for most ordinary households, who feel the cost of living directly, the "weakness" framing still feels accurate regardless of exporter profits.
2. **A fixed exchange rate brings stability but means following another country's interest-rate decisions. When is that trade worth making?** It is worth making when a country's economy is closely tied to the anchor currency's economy anyway (through trade, tourism, or capital flows), so following the anchor's rate decisions imposes little real additional cost, while the stability benefit (predictable trade and investment) is large — this fits smaller, highly trade-dependent economies like the Gulf states or Hong Kong the reading names. It is less worth making for a large, more self-contained economy whose own economic cycle may differ significantly from the anchor country's, since being forced to follow a mismatched rate policy (raising rates when its own economy needs the opposite) could cause real domestic harm.

3. **Currency intervention “can smooth a move but rarely reverses” an interest-rate gap. If so, why do governments still intervene?** A strong answer should reason about intervention’s realistic, limited purpose rather than assuming it must be pointless if it cannot reverse the trend. Slowing a fall (rather than stopping it) can still give households, businesses and markets time to adjust rather than facing an abrupt, disorderly move, and can signal to markets that the government is monitoring the situation, which may itself have some calming effect even if the underlying rate gap persists. A learner might also note that intervention can be one part of a broader policy response, buying time until interest rates themselves narrow the gap (as eventually happened when the BOJ raised and the Fed cut).
4. **Compare the position of a Japanese carmaker and a Japanese food importer during the weak-yen period. Whose situation would you rather manage?** The carmaker benefits directly and substantially — record profits, partly from foreign earnings converting into more yen — a genuinely favourable position to manage. The food importer faces the opposite: higher costs for every imported unit, squeezing margins or forcing price rises passed on to consumers, a harder position with less room to manoeuvre (a food importer cannot simply relocate production abroad the way some manufacturers might consider). A strong answer should note that the carmaker’s advantage is a real reward for having overseas operations and export exposure, structural features the food importer typically lacks.
5. **You advise a government whose currency is falling fast. Rank these options and justify your order: raise interest rates, intervene in the market, introduce a peg, do nothing.** There is no single correct order, but a defensible one, grounded directly in the reading’s own logic: raise interest rates first, since the reading shows the interest-rate gap is the real underlying driver, so addressing it directly is most likely to actually change the currency’s direction; intervene in the market second, as a way to smooth the pace of decline while the rate change takes effect, understanding its limits; introducing a peg third, since it is a far larger structural commitment (giving up independent monetary policy entirely) that the reading frames as suited to specific circumstances (Hong Kong, Gulf states), not a general-purpose quick fix; doing nothing last, unless the fall is judged temporary and tolerable, since the reading shows real costs accrue to households from a falling currency. A learner reordering this with clear reasoning should also be credited.

Confidentiality note: Discuss public exchange-rate data only.

3.5. Emerging Markets and Development Finance

Aim: Explain what “emerging market” means for an investor and a government, and how developing countries raise money to grow.

Target vocabulary: emerging market, capital outflow, foreign direct investment, currency mismatch, development finance institution, sudden stop.

Reading answers:

1. India sold ten-year bonds at yields close to 7% and was added to a major global bond index, drawing in billions of new foreign money; Egypt could only secure funding after an expanded IMF programme and a large UAE investment deal, with its dollar bonds having traded at distressed levels.
2. Higher potential returns and faster growth; in return, greater currency risk, political risk and the danger of sudden capital outflows.
3. Because funds that track the index must then buy the newly included country's assets, which lowers the government's borrowing cost.
4. It creates a currency mismatch: if the local currency falls, the foreign-currency debt becomes far heavier to repay.
5. Japan is one of the largest bilateral providers of development finance, funding transport, energy and water projects in Asia through JICA and the Asian Development Bank; critics say this can tie borrowers to Japanese contractors and add to debt loads.

Discussion answers:

1. **The reading says how a country borrows often matters more than how much. Do you agree? Use the examples in the text.** The reading's own India-versus-Sri Lanka-and-Indonesia contrast supports this directly: countries “that had borrowed heavily in dollars, such as Sri Lanka, defaulted,” while “countries with deeper local savings, larger reserves and credible central banks, such as India and Indonesia, absorbed the shock” during the same 2022 tightening episode — showing the currency and structure of borrowing, not simply the amount, determined the outcome. A strong answer should use this direct comparison rather than a general assertion, and could note foreign direct investment's stability (the reading calls it “the most stable form of foreign money because it is hard to pull out quickly”) as further evidence that the *form* of financing matters as much as its size.
2. **Foreign direct investment is the most stable foreign money but flows mainly to larger economies. What could a smaller country do to attract more of it?** A strong answer should reason from the reading's own description of what makes foreign direct investment attractive and stable, even though the reading does not directly answer this policy question. A smaller country could focus on building the conditions that make a foreign company willing to build a factory or take a lasting stake — political and legal stability, clear property rights, and reliable infrastructure — since foreign direct investment depends on a long-term commitment rather than a quick

financial trade. A learner might also note that smaller countries often instead rely more heavily on the other two sources (dollar borrowing or development-finance loans), precisely because attracting foreign direct investment is harder for them.

3. **Development finance institutions offer cheap, long loans but attach conditions and move slowly. Are those trade-offs worth it for a borrowing government?** In favour: the reading frames this financing as offering “lower rates and longer terms,” a genuinely valuable alternative to the currency-mismatch risk of dollar borrowing on international markets, especially for long-term infrastructure projects that need patient capital. Against: conditions attached to the loans limit a government’s freedom of action, and slow disbursement may not suit urgent needs, while the reading also notes critics worry this kind of finance (Japan’s own bilateral lending, for example) “can tie borrowers to Japanese contractors and add to debt loads” — a real cost beyond the interest rate alone. A strong answer should weigh the lower financial risk against these non-financial costs.
4. **Compare the positions of Sri Lanka and India during the 2022 tightening. What made the difference?** The reading gives the direct mechanism: Sri Lanka had “borrowed heavily in dollars,” creating a currency mismatch that became unmanageable once capital reversed and its own currency weakened relative to its dollar debts, leading to default. India had “deeper local savings, larger reserves and credible central banks,” giving it a buffer to absorb the same global shock (the US Federal Reserve tightening policy) without the same currency-mismatch vulnerability. A strong answer should note both countries faced the identical global trigger — this was about each country’s own financial structure and preparedness, not the severity of the shock itself.
5. **You advise the finance ministry of a fast-growing emerging economy. Recommend a borrowing strategy that reduces the risk of a sudden stop, and explain your choices.** A strong strategy should draw directly on the reading’s own three-source framework and its lessons: prioritise attracting foreign direct investment where possible, since it is “the most stable form of foreign money” and hardest to withdraw suddenly; when borrowing internationally, prefer local-currency debt over dollar debt where feasible, to avoid the currency mismatch that caused Sri Lanka’s default; and build up domestic savings and reserves over time, following India’s and Indonesia’s example, as a buffer that let them absorb the same 2022 shock that triggered defaults elsewhere. A learner naming these three elements with the reading’s own supporting cases should be credited fully.

Confidentiality note: Discuss public country-level data only.

4.1. Tax: How Governments Raise Money

Aim: Set out the main sources of government revenue, how the mix varies between countries, and who actually bears each tax.

Target vocabulary: tax-to-GDP ratio; value-added tax (VAT) / consumption tax; social-security contributions; progressive / regressive tax; tax incidence; global minimum tax ("Pillar Two").

Reading answers:

1. Total tax revenue as a share of the size of the economy.
2. The US has no federal VAT and relies heavily on personal income tax and payroll taxes; most EU countries run high standard VAT rates that raise a large, stable share of revenue.
3. Because its traditional oil revenue base looked less secure, so it needed a new, more stable source of government income.
4. To stop multinational companies avoiding tax by shifting profit to a very-low-tax country — the shortfall is now "topped up" elsewhere.
5. Because it is the most reliable way to raise revenue from a population with a growing share of retirees, even though each rate increase has been politically costly.

Discussion answers:

1. **VAT takes a larger share of a low earner's income than a high earner's. Does that make it a bad tax, or is it justified by other qualities?** A strong answer should name the regressive feature directly (a consumption tax takes a larger *proportion* of a low earner's income, since low earners typically spend a larger share of what they earn) while also weighing VAT's practical strengths: the reading shows it "raises a large and stable share of revenue" for EU countries, and it is generally harder to evade than income tax since it is collected at the point of sale. A learner arguing VAT is justified despite its regressive effect might note that governments can offset this with targeted transfers or lower rates on necessities (the reading notes Japan kept food at a lower 8% rate during its last VAT rise); a learner arguing it is a bad tax on balance should weigh the burden on low earners as the more important consideration.
2. **Countries at similar income levels tax very differently. What might explain those choices — history, politics, or something else?** The reading's own examples support several explanations working together: history and political tradition (the US's federal system historically avoided a national VAT, leaving consumption taxation to individual states); differing political tolerance for direct versus indirect taxation (the EU's comfort with high VAT rates versus the US reliance on income and payroll taxes); and a country's revenue-base needs changing over time (the UAE introducing VAT and corporate tax only once oil revenue looked less secure). A strong answer should note the reading's own closing line — "neither design is more 'normal' than the other" — as

support for treating this as genuine, defensible variation rather than one country simply getting it “right.”

3. **The global minimum tax needs many countries to act together, and the US has stepped back. Can it work without full participation?** In favour of it still working: the rules already “took effect from 2024 in the EU, the UK, Japan and South Korea, among others,” so a meaningful group of major economies is applying the standard even without full US participation, and the “top-up” mechanism means profit shifted to a low-tax jurisdiction can still be taxed by participating countries regardless of where the parent company is based. Against: if the United States, home to many of the world’s largest multinational companies, does not apply the standard, a significant share of global corporate activity may remain outside its reach, potentially undermining the goal of a genuinely universal minimum. A strong answer should note this is a real, live uncertainty the reading itself does not fully resolve.
4. **Compare taxing consumption (VAT) and taxing income. Which would you rely on more, and why?** VAT (or consumption tax) offers the stability and difficulty-to-evade advantages the reading notes for the EU, and can be adjusted (as Japan does with food) to soften its regressive impact on necessities. Income tax can be made more directly progressive, since rates can rise with income levels, better matching ability to pay — though the reading’s discussion of tax incidence (Topic-relevant point: who actually bears a tax may differ from who legally pays it) reminds us that even “progressive” income tax’s real burden can be complicated by how it interacts with the wider economy. A strong answer should pick one and defend the trade-off, using the reading’s own US/EU contrast as evidence that real governments make different choices here.
5. **You advise a government that must raise revenue equal to 2% of GDP. Recommend which taxes to raise or introduce, and explain who would bear the cost under your plan.** A strong answer should propose a specific, reasoned mix rather than a vague answer, and explain incidence for each: for example, raising VAT by a small amount would be relatively easy to implement and hard to evade, but its cost would fall disproportionately on lower earners (unless paired with an offset); raising the top marginal income-tax rate would target higher earners more directly, following a progressive design; or closing corporate tax loopholes in line with the OECD’s global minimum tax framework would target multinational company profits specifically, though the reading’s own point about disputed incidence means some of that cost could still be passed to shareholders, employees, or customers. A learner should explain their reasoning for the specific mix chosen, not simply name a tax.

Confidentiality note: Discuss public tax policy and government data only.

4.2. Government Debt and Deficits

Aim: Explain the difference between deficits, debt and debt-to-GDP, and why bond markets, not arithmetic, usually set the limit.

Target vocabulary: budget deficit / surplus; government (sovereign) debt; debt-to-GDP ratio; bond yield; sovereign credit rating; market discipline.

Reading answers:

1. UK government bond prices fell at their fastest rate in decades; the Bank of England began emergency gilt purchases, authorised up to GBP 65 billion.
2. A deficit is the gap in one year between what a government spends and raises in tax; debt is the accumulated total of past deficits.
3. Running budget surpluses, or growing (or inflating) GDP faster than the debt.
4. Because its bonds remain the world's benchmark safe asset, even after being downgraded by all three major agencies.
5. Because its debt is held almost entirely by Japanese institutions and households, the Bank of Japan owns around half of it, and decades of deflation kept interest rates near zero.

Discussion answers:

1. **The reading says “deficit reduction is a political problem before it is an arithmetic one.” Explain what that means, using the Kenya example.** The point is that the arithmetic of cutting a deficit (raising taxes or cutting spending by a calculable amount) is usually straightforward, but actually doing it requires political consent that can be extremely hard to secure. Kenya's 2024 case is a direct illustration: the government proposed specific new taxes, partly to meet IMF targets, at a moment when interest payments already consumed about 37% of revenue — a clear arithmetic case for more revenue — but mass protests forced the president to withdraw the bill entirely. The numbers did not change; the political reality did.
2. **Bond markets can lend cheaply for years and then turn suddenly, as in the UK in 2022. Can a government prepare for that, or only react?** A strong answer should note both preparation and inherent limits are real, drawing on the reading's own UK case. Preparation is possible: a government can avoid announcing large, unfunded fiscal changes with no credible plan to pay for them, since that specific combination is what triggered the 2022 crisis, and it can maintain lower baseline debt levels (more fiscal “room”) in normal times as a buffer. But some reaction to a sudden market judgment is likely unavoidable, since bond-market sentiment can shift on new information or changed expectations that a government cannot fully control or predict — the reading calls this “a shifting, sometimes sudden limit.”
3. **Japan carries the rich world's highest debt with the lowest borrowing costs. Is that a model other countries could follow, or a special case?** The reading's own account strongly suggests Japan is a special case, not a replicable model: its low

borrowing costs depend on the debt being held “almost entirely by Japanese institutions and households,” the Bank of Japan owning roughly half, and a quarter-century of deflation keeping interest rates near zero — a specific combination of conditions most other countries do not share and cannot simply choose to adopt. A strong answer should note the reading’s own closing warning: “the conditions are right’ is not a plan,” implying Japan’s situation should not be read as proof that high debt is generally safe.

4. **Compare fixed fiscal rules (the old euro-area 3%/60% limits) with country-specific spending paths. Which is more likely to work?** Fixed rules (the original 1997 reference values) offer clarity and are simple to communicate and monitor, but the reading notes they were “suspended during COVID,” showing rigid numerical limits can become unworkable during a genuine crisis, undermining their credibility. Country-specific spending paths (adopted in 2024) can better account for each country’s different starting debt level and economic circumstances, but are more complex to negotiate and monitor, and may be seen as less transparent or fair if countries are held to different standards. A strong answer should note the shift itself — from fixed rules to flexible paths — as the euro area’s own judgment that rigid rules alone were not working well enough.
5. **You advise a government whose interest payments are rising toward a third of its revenue. Set out a three-step plan to bring the deficit down while limiting the political damage.** A strong plan should draw on the reading’s own Kenya lesson about the political difficulty of sudden, unexplained changes: (1) build public understanding and support for the need to act before proposing specific measures, rather than announcing changes abruptly, as Kenya’s failed attempt suggests matters greatly; (2) spread the burden across several smaller, more broadly shared measures (some tax changes, some spending restraint) rather than concentrating pain on one group, which may reduce the risk of the kind of unified, focused protest Kenya faced; (3) communicate a credible multi-year path (echoing the euro area’s own shift toward country-specific spending paths) rather than a single abrupt correction, giving households and businesses time to adjust.

Confidentiality note: Discuss public fiscal data and named country cases only.

4.3. The Business of Sport, Art and Culture

Aim: Contrast the parts of sport and culture that fund themselves commercially with the parts that depend on subsidy and philanthropy.

Target vocabulary: media / broadcast rights; sponsorship; sovereign wealth fund; “soft power”; philanthropy; “cost disease” (Baumol).

Reading answers:

1. Media rights, ticketing, sponsorship, player transfers and sales.
2. A financial return, “soft power” (influence gained through visibility), and building a domestic entertainment industry.
3. “Cost disease” is the tendency for the relative cost of live performance to keep rising because it cannot become more efficient over time (a string quartet still needs four players for the same length of time as in 1800) even as wages rise across the wider economy; it particularly affects live performance because its “productivity” cannot be improved the way manufacturing or software can.
4. Germany funds a dense network of civic theatres and opera houses; the United States provides very little public money and relies on tax-deductible private donations.
5. Because anime is a genuine commercial powerhouse — a record ~US\$21 billion in 2023, with overseas revenue exceeding domestic revenue — while Japan’s fine-art market is small, around 1% of world sales.

Discussion answers:

1. **Sovereign wealth funds now own major sports clubs and events. What are the benefits and risks of that kind of ownership for a league?** Benefits: the reading shows this brings substantial capital investment into clubs and competitions, potentially raising quality, investment in facilities, and global visibility. Risks: the reading is explicit that such funds pursue multiple aims at once — financial return, “soft power,” and building a domestic entertainment industry — meaning ownership decisions may sometimes be driven by objectives beyond a club’s sporting or financial performance, which could concern other owners, fans or competing clubs about fair competition or the fund’s ultimate priorities. A strong answer should note the reading names all three aims explicitly, giving direct evidence for this concern.
2. **If “cost disease” means live performance will always need subsidy, is that a good reason to fund it publicly, or a reason to let ticket prices rise?** In favour of public subsidy: the reading frames cost disease as a structural, unavoidable feature of live performance, not a management failure, so relying purely on rising ticket prices could price out most audiences over time, especially since the reading notes American concert tickets already average close to US\$80, “which limits audiences.” In favour of raising ticket prices instead: if only a smaller, wealthier audience is willing to pay full cost, some could argue public subsidy is effectively using general tax revenue to support what becomes a niche, self-selecting audience. A strong answer should weigh

audience access against fiscal cost directly, since the reading shows real countries make different choices here (Germany's dense public funding versus the US's donation-based model).

3. **The reading says culture that “scales through reproduction” can be a big business. Does that mean live performance is destined to shrink? Give reasons.** A strong answer should note the reading's own final sentence draws a sharp but bounded distinction: culture that scales “can be a big business,” while culture that must be performed live “generally cannot pay for itself” — this describes a persistent funding gap, not necessarily shrinkage in size or importance. A learner arguing live performance is not destined to shrink could note that its value (a live, shared experience) is precisely what reproduction-based culture cannot replicate, so demand for it need not fall even if it never becomes commercially self-sufficient; a learner could instead argue that without reliable funding, live performance institutions may indeed shrink in number even if demand for the experience itself persists.
4. **Compare the funding of elite football and a public orchestra. Which model is more secure, and which produces better outcomes for audiences?** Elite football's commercial model (media rights, sponsorship) generates enormous, growing revenue, as the reading's Premier League and Real Madrid figures show, making it financially self-sufficient and arguably more secure in the near term, though potentially exposed if media-rights values ever fall. A public orchestra's funding (a mix of ticket sales, donations, and — in some countries — public money) is less commercially secure on its own but, where well-supported (as in Germany), can guarantee wider public access regardless of the market's appetite for classical music at any given moment. A strong answer should distinguish financial security (football looks stronger) from audience-outcome questions (a well-funded public model may serve a broader, less wealth-dependent audience) rather than assuming one measure captures “better” for both.
5. **You advise a mid-sized city orchestra that covers only 40% of its costs from tickets. Propose a funding plan and explain the trade-offs in your choices.** A strong plan should draw on the reading's own named funding sources: seeking increased public/government funding (following the German model, if politically and fiscally feasible in that city, though this depends on local willingness to fund culture publicly); building a stronger donor and philanthropy base (following the US model, though the reading shows US ticket prices already average high, and a heavier reliance on private donors introduces dependence on a smaller number of wealthy patrons); or corporate sponsorship, echoing the sports-sector funding model, though this could raise questions about a sponsor's influence over programming. A strong answer should name the trade-off in each option chosen, not just list sources of money.

Confidentiality note: Discuss public financial data and named public institutions only.

4.4. Philanthropy, Foundations and Impact

Aim: Explain how large-scale institutional philanthropy is structured, why its accountability is questioned, and what the responses have been.

Target vocabulary: foundation; endowment; payout rule; donor-advised fund (DAF); spend-down (sunset) foundation; impact investing.

Reading answers:

1. Charity is direct help given now; institutional philanthropy is large sums held in an endowed foundation that gives away only a slice of its investment returns each year, backed by tax advantages and increasingly judged on measurable “impact.”
2. Because it is subsidised by every taxpayer through deductions, is accountable to no electorate, and lets very wealthy individuals set public priorities in areas like health, education and science.
3. A spend-down foundation commits to giving everything away and closing; in May 2025 the Gates Foundation said it would spend roughly US\$200 billion over 20 years and shut permanently by the end of 2045.
4. MacKenzie Scott gives large, unrestricted gifts with no application process and minimal reporting, choosing recipients through her own research rather than a traditional grant-application process.
5. Weaker tax incentives until recent reforms, and an expectation that the state and companies, not individuals, handle social provision (a third reason given is a legal system that, until a 2008 reform, gave government ministries wide discretion over which bodies counted as serving the public interest).

Discussion answers:

1. **The reading calls the responses “partial answers, not a settled fix.” Which response do you find most convincing, and why?** A strong answer should engage with the reading’s own honest framing — none of the four responses (spend-down, unrestricted giving, the “impact” turn, regulation) fully resolves the underlying accountability problem it describes. A learner favouring the spend-down model (the Gates Foundation’s approach) could argue it directly addresses the “can exist forever” critique by setting a hard end date. A learner favouring unrestricted giving (MacKenzie Scott’s approach) could cite the reading’s own evidence that a 2025 study found the feared downsides “had not materialised” — genuine positive evidence. A strong answer should pick one and use the reading’s specific evidence for that choice, while acknowledging none is described as a complete fix.
2. **Should a foundation be allowed to exist forever while giving away only about 5% of its assets a year?** In favour: a perpetual foundation with a modest payout rule can provide stable, predictable funding to causes indefinitely, potentially outlasting any single donor’s lifetime and adapting its giving over decades or centuries as needs change. Against: the reading’s own critics argue this lets accumulated, tax-advantaged

wealth sit largely untouched for good causes for a very long time while still shaping public priorities without electoral accountability — and the reading notes donor-advised funds go further still, having “no payout deadline at all.” A strong answer should note the Gates Foundation’s own recent choice to reject perpetuity in favour of spending down as itself a real-world judgment on this question.

3. **Unrestricted, no-strings giving was expected to cause problems that a 2025 study did not find. Why might large unrestricted gifts work better than targeted ones?**

A strong answer should reason from the reading’s own contrast: unrestricted gifts let the recipient organisation (which likely knows its own needs better than a distant donor) decide how to use the money, rather than being constrained by conditions set in advance that may not fit its actual circumstances. The reading’s own explanation of the feared downsides (organisations “overspending or losing other donors”) suggests the concern was that unrestricted money might be used carelessly or crowd out other funding relationships — the study’s finding that this “had not materialised” suggests recipient organisations generally used the freedom responsibly rather than recklessly.

4. **Compare tax-subsidised private giving with higher taxes and public spending as ways to fund health or education. What does each do better?** Tax-subsidised private giving (the US model the reading describes) allows individual donors to direct funding toward causes they personally value and can respond quickly and flexibly, sometimes funding innovative or unpopular causes that democratic political processes might overlook. Higher taxes and public spending place funding decisions under democratic and electoral accountability, distributing the cost broadly across all taxpayers rather than depending on the preferences of a relatively small number of very wealthy donors, and can potentially reach needs more comprehensively and consistently rather than depending on donor interest. A strong answer should note the reading’s own core criticism of private philanthropy — “lets very wealthy individuals set public priorities” — as the central trade-off against the public-spending alternative.

5. **You advise a new foundation with US\$1 billion. Recommend a payout rate, whether to spend down or last indefinitely, and how you would measure success. Justify each choice.**

This is a creative task with no single correct answer — assess it against the reading’s own framework of options. A strong answer should recommend a payout rate (the reading’s baseline US example is about 5%, though a learner could reasonably recommend higher, citing the Gates Foundation’s dramatically increased spend-down rate), take a position on spend-down versus perpetuity (citing either the accountability concerns with perpetuity or the case for stable, long-term funding), and propose a way to measure success drawing on the “impact” turn described in the reading (cost-per-outcome analysis or formal metrics) — provided the learner explains why their specific choices fit together as a coherent plan, not just lists options.

Confidentiality note: Discuss public foundations and named public cases only; do not ask learners to discuss their own or their family’s charitable giving.

4.5. The Future of Money

Aim: Trace how money's form has changed over time and give a sober account of what is actually arriving next.

Target vocabulary: fiat money; money supply; cashless society; stablecoin; tokenised deposit; central-bank digital currency (CBDC).

Reading answers:

1. It fell from about 40% of most-recent purchases in 2010 to about 8% in 2022.
2. That in modern economies the large majority of the money supply is already commercial-bank deposits, created when a bank lends, rather than physical central-bank cash.
3. Because much of that reported volume is automated trading rather than genuine payments for goods and services.
4. It sent every household a brochure advising them to keep a week's worth of cash and backed a proposed legal duty for essential-goods shops to accept it; cash is now described as "resilience infrastructure."
5. Near-zero interest rates for decades, an old population used to tangible money, low crime, and habit/trust.

Discussion answers:

1. **Sweden went furthest toward cashlessness and is now protecting cash. What does that reversal suggest about how fast countries should move?** A strong answer should note the reading's own reframing of cash "as resilience infrastructure — a backup if the electronic system fails — rather than a relic," implying Sweden's reversal is less a rejection of cashlessness itself and more a recognition that a fully electronic system carries its own risk (a technical failure with no fallback). A learner could argue this suggests countries moving toward cashless payments should deliberately preserve some minimum cash infrastructure as insurance, rather than assuming a fully cashless system is simply "more advanced" and therefore better in every respect.
2. **If most money is already private bank deposits, how much would a central-bank digital currency actually change for an ordinary user?** A strong answer should reason carefully from the reading's own framing: since "most money is already digital and private" (commercial-bank deposits), a retail CBDC's main practical change for an ordinary user might be smaller than the concept sounds — day-to-day payment experience could look similar to using a bank app or card today. The more significant change might be structural (a direct claim on the central bank itself, rather than on a commercial bank, changing who bears the risk if a bank fails) rather than a dramatically different everyday user experience. A strong answer should distinguish "what changes technically/structurally" from "what an ordinary user actually notices."

3. **Stablecoins are widely used for trading but less so for everyday payments. What would have to change for that to shift?** A strong answer should reason from the reading's own evidence: the reported US\$33 trillion transfer volume is "mostly automated trading," while genuine payment use is currently concentrated in specific niches — cross-border transfers and dollar access in high-inflation economies. For stablecoins to shift toward mainstream everyday payments, they would likely need broader merchant acceptance, clearer and more consistent regulation (giving ordinary users confidence in their safety), and a genuine cost or convenience advantage over existing payment methods (cards, bank transfers, mobile wallets) that most people already find adequate for daily use.
4. **Compare Sweden and Japan. Which country's approach to the future of money looks wiser, and why?** A strong answer should avoid simply picking the more "modern-sounding" option and engage with the reading's own even-handed framing: Sweden's near-cashless approach reflects genuine consumer preference and technological adoption, but its own recent reversal (actively protecting a cash buffer) suggests even Sweden now sees value in Japan-style resilience. Japan's high cash use is shown to be driven by specific rational factors — near-zero rates removing the cost of holding cash, an ageing population, and low crime — not simply resistance to change. A strong answer could conclude that Japan's approach looks "wiser" in the sense of preserving optionality and resilience, or could argue Sweden's approach (now course-corrected) shows the wisest path is adapting as conditions reveal new risks, rather than committing fully to either extreme.
5. **You advise a central bank deciding whether to issue a digital currency. List the strongest argument for and against, and recommend a decision.** Strongest argument for: keeping a public, central-bank form of money available and directly usable by the public as cash use declines, so the population is not left entirely dependent on private commercial money (bank deposits, stablecoins) for all transactions — echoing the reading's "keep a public form of money available as cash use falls" reasoning from the companion Book A CBDC topic. Strongest argument against: the reading's broader closing point that this depends heavily on "interest rates, demographics, trust and habit" specific to each country, and a CBDC introduced where there is little genuine public demand (as several real launches have shown) may achieve little real change while still requiring significant cost and effort to build. A strong recommendation should be conditional on the specific country's circumstances (echoing Sweden versus Japan) rather than a universal yes or no.

Confidentiality note: Discuss public payment-system data only.

